forced to write off more accounts, the average consumer ends up recouping the company's losses by paying higher and higher rates of interest.

Just when Julie was getting adjusted to riding the bus and thought the inconvenience was minor compared to getting rid of her debts, she was laid off from her job. To her surprise, almost every company where she went for an interview requested to see her credit report. She could have refused, but they would have wondered what she was trying to conceal. Even though she believed she was a strong candidate for these jobs, she ended up not being offered a position by any of the companies. Julie had a feeling that the bankruptcy was behind their decisions.

Her lawyer had never told Julie that her Chapter 7 bankruptcy would appear on her credit report for ten years. She had assumed that it would remain for seven years like other negatives. She also didn't realize how powerful her credit report was and how often it would be accessed. Had she known these things, she might have thought twice before filing bankruptcy.

Time can serve to clean up your credit report. Making payments on time and never missing a payment can help to strengthen a credit report. Even though a Chapter 7 bankruptcy cannot be legally removed from your credit report before ten years, your actions after your bankruptcy are influential in the decision of whether to grant you credit again. If you have a flawless credit record for several years following a bankruptcy, a creditor may interpret this as a sign that you have learned your lesson. If you continue to act like a responsible money manager, the positives will soon outweigh the negatives and you can be considered a good credit risk again. Be careful that when that day comes, history doesn't repeat itself. Use your fresh start wisely and avoid making the same mistakes twice.